

Investing Basics Workbook

Building your first portfolio — a plain-language workbook for someone about to open their first brokerage account.

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This product contains educational information and templates. Nothing here is professional, legal, tax, or investment advice. For decisions that matter, talk to a qualified professional.

01. What You're Actually Buying

Three terms cover most of what a beginner needs.

A stock

A share of ownership in one company. If that one company does badly, so do you. This is why holding only a handful of individual stocks is riskier than it looks.

An index fund

A single fund that holds hundreds or thousands of companies at once, tracking a whole market (like the S&P 500). One purchase spreads your money across everything in that index — that spread is the entire point.

A bond

A loan to a government or company that pays interest. Historically less volatile than stocks and lower returning. Its job in a portfolio is to cushion the drops, not to make you rich.

02. Risk Tolerance Worksheet

Answer honestly about what you'd actually do, not what sounds brave.

1. Your portfolio drops 25% in a month. You:

- & Sell most of it — I can't watch that happen
- & Sell some and wait it out
- & Change nothing
- & Buy more while it's cheap

2. When will you need this money?

- & Within 3 years
- & 3–10 years
- & 10–20 years
- & 20+ years / retirement

3. If you lost your income tomorrow, how many months of expenses do you have saved separately?

- & Less than 1
- & 1–3
- & 3–6
- & 6+

4. Your experience with investing so far:

- & None — this is my first account
- & A retirement account I don't really manage
- & I've invested through a full market drop before
- & Comfortable, I follow it closely

Score 4–7: Conservative | Score 8–11: Balanced | Score 12+: Growth-oriented

03. Asset Allocation by Age (Rule of Thumb)

The "110 minus your age" rule allocates the remainder to stocks, with bonds and cash as ballast.

Age	Stocks	Bonds	Cash
25	85%	10%	5%
35	75%	15%	10%
45	65%	20%	15%
55	55%	30%	15%

04. Monthly Contribution Projector — W

What consistent contributions look like over time. These return smoothly).

After	Contributed	Projected Value
5 years	\$16,000	\$21,155
10 years	\$31,000	\$50,416
20 years	\$61,000	\$148,267

After	Contributed	Projected Value
5 years	\$35,000	\$44,308
10 years	\$65,000	\$100,832
20 years	\$125,000	\$296,533

Example 1: Start \$1,000 + \$250/month at 7% annual return

Growth
\$5,155
\$19,416
\$87,267

Example 2: Start \$5,000 + \$500/month at 7% annual return

Growth
\$9,308
\$35,832
\$171,533

Formula: $FV = PV \times (1 + r)^n + PMT \times \left[\frac{(1 + r)^n - 1}{r} \right]$, where n = number of periods

05. Before You Buy Anything — Checklist

& High-interest debt handled first

A credit card at 24% reliably costs you more than a portfolio of funds.

& Emergency fund exists, separately

If an unexpected bill forces you to sell during a downturn, you won't lose your investments.

& Employer match captured

If your job matches 401(k) contributions, that match is part of your retirement savings.

& You know the fund's expense ratio

An expense ratio is the annual fee as a % of your balance. Lower is better.

& You have a contribution schedule, not a timing plan

"\$X on the 1st of each month" removes the hardest repeated decision.

